

BDCR-26 · US BIG DEBT CYCLE REGIME ALGORITHM

# The Debt Cycle Meets the AI Bubble

A five-year projection for the US economy and markets, the game theory of who keeps it going, and a dated crash forecast. Detailed report, updated through September 22, 2026, on the eve of the Xi state visit.

REPORT DATE · 22 September 2026 (data through the 22 September afternoon)

BASELINE · 28 July 2026 · RE-SCORED 19 Aug · 10 Sep · 16 Sep · 22 Sep

COMPOSITE · 70.0 / 100 · R3-upper – repression-lite onset (R4 band, Monetization Gate NOT met)

METHOD · 29 research sweeps, adversarially audited, pre-registered thresholds

STATUS · Analytical framework. Not investment advice.

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### What is in this report

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### How to read the numbers

The composite is a weighted sum of 31 indicators, each scored 0 to 3 against thresholds that were written down before the data arrived. Scores only change when a written threshold is crossed; when a rule needs changing, the amendment is logged and applies to future readings, never to the reading that motivated it. That discipline is the reason the composite moves in small steps while the narrative moves in large ones. The scenario probabilities and the crash-timing distribution are judgment layered on top of the mechanical score, and they are labeled as such throughout.

## 1 · EXECUTIVE SUMMARY

## The market is pricing fiscal dominance while the Fed acts as if it does not exist

|                                                                                      |                                                                                          |                                                                                                           |                                                                                                             |
|--------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| <p>COMPOSITE</p> <p><b>70.0</b></p> <p>Unchanged Sep 16 → Sep 22; 69.0 on Sep 10</p> | <p>REGIME</p> <p><b>R3 upper</b></p> <p>R4 band entered;<br/>Monetization Gate unmet</p> | <p>CRASH WINDOW</p> <p><b>H2-27 to H1-28</b></p> <p>Modal quarter Q4 2027;<br/>~80% within five years</p> | <p>10% CORRECTION BY NOV 4</p> <p><b>~40%</b></p> <p>S&amp;P back to 0.3% from its record on oil relief</p> |
|--------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|

**The state of play.** On September 16 the Federal Reserve raised the funds rate 25bp to 3.75–4.00% by a unanimous vote, with a median projection of one more hike this year. The 10-year Treasury rose through 5% on the decision, its first close above 5% since 2007. A long end that sells off when the central bank tightens is telling you the hike raises the government's interest bill faster than it lowers inflation risk. That single move pushed the equity risk premium below zero, the only pre-registered threshold crossed this week, and lifted the composite to exactly 70.0. The score now sits inside the Regime 4 band, but the Monetization Gate, which requires the Fed to buy duration, cap yields, or hold real rates negative, is further from opening than at any point since July. The model's own output reads "repression-lite onset, gate not met." That is not a contradiction. It is the projection. The week that followed (September 16 to 22) crossed no threshold: the composite holds at 70.0.

**What the week after the hike showed.** The election put worked, and its author said so: Trump told the UN an Iran deal comes "right after" November 3, the US struck IRGC targets and held a three-hour meeting with Iranian officials on the same day, Saudi Arabia restarted its East-West pipeline, and Brent fell 10% to \$97. That reversed the FOMC selloff: the S&P is 0.3% from its record, the Nasdaq at a new high, semis up six straight sessions. Underneath, the three legs the map cares about most all deteriorated. Oracle's Project Jupiter loans are quoted at 89 to 91 cents (the first hyperscaler-linked project debt below 90), OpenAI's leaked plan shows cash exhausted by 2028, SoftBank is funding its OpenAI stake with junk near 10%, and Fitch's private-credit default rate hit a record 6.3% with every perpetual fund gated. July TIC showed private foreigners net sellers of US securities and Japan selling for a third month, while the BOJ's dovish hike pushed the yen back to 158. The 2s10s curve flattened to 20bp with an October hike 55% priced and the President demanding 1% rates. The bounce itself was narrow: the NYSE Composite was flat on the week, small caps are down 4% on the month, CTAs are modelled as sellers in every scenario, and August margin debt set a record.

**What the FOMC week added.** Three G3 central banks tightened in nine days into a long end at 19-year highs. Brent reached \$108 with Strait of Hormuz transits in single digits, five Iranian tankers destroyed, the Houthis holding two Red Sea islands, and Saudi Arabia's East-West pipeline out for weeks. NATO shot down a drone over Lithuania for the first time. China's fixed-asset investment is down 7.2% year to date and August bank lending was near zero. Oracle burned \$5.4B of free cash in one quarter with its equity program exhausted. The AI labs themselves began talking publicly about pacing the frontier and OpenAI deferred its IPO to 2027. The US consumer spent hard in nominal terms while sentiment fell to 47.8, one-year inflation

expectations jumped to 4.6%, and real wages stayed negative. Michael Burry closed his December 2026 puts and kept the 2027 ones.

**The game theory in one paragraph.** Every major player has the same dominant move: keep the game going through the November 3 midterms. The Fed and Treasury are in a chicken game in which neither swerves before the election. Foreign holders rotate slowly into gold rather than dumping Treasuries. The AI complex cannot cut capex first, so the overbuild ends only when the financing channel closes. Iran keeps oil high without decisive escalation. Xi and Trump both need a truce. The catch is that every "keep it going" move spends policy room the next round no longer has. The system is converging on financial repression because it is the only equilibrium that clears a \$2T deficit at a 5% marginal borrowing cost, and repression needs a crisis to become politically possible. The market has now refused voluntary yield caps three times. The path of least political resistance is crash, then repression.

### Scenario probabilities, September 22



September 22 weights. Muddle +1 and AI Bust +1 on the week; Second Wave and Fracture –1 each. Second Wave took the largest single move since the map was built on September 16 (+4) and gave one point back as oil fell.

### Positioning implications (framework, not advice)

- Underweight long nominal Treasuries; hold bills and short TIPS instead. Duration is the future tax base of repression.
- Gold 10–15%. It rises in five of six scenarios; treat its edge as 3–5% a year over cash, not more.
- Equities at or below benchmark, tilted equal-weight, value, energy and real assets, ex-US.
- Avoid the AI-circularity credit chain: levered neoclouds, Oracle-profile credits, GPU-collateralized paper, private-credit data-center funds, tightest-decile high yield.
- Own convexity. In this regime drawdowns arrive as air pockets. The put model favors December 2027 and June 2028 index puts over anything expiring in early 2027.

2 · THE CRASH FORECAST

# Most likely start: second half of 2027 to first half of 2028, modal quarter Q4 2027

"Crash" here means a decline of 25% or more in the S&P 500 from its high. The distribution below is my judgment, built on the model's regime reading, the scenario weights, and the game-theory timing argument. It incorporates the 2028 presidential election as a reason the event can arrive later and larger, not as a reason it does not arrive.

| WHEN THE CRASH STARTS         | PROBABILITY | WHAT HAS TO BE TRUE                                                                                                                                                  |
|-------------------------------|-------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Before November 4, 2026       | 7%          | A failed long-end rescue or a private-credit gate wave overwhelms the pre-election policy put.                                                                       |
| November 2026 to June 2027    | 13%         | The post-election calendar stops helping immediately; the second hike lands on a stalling labor market; an AI credit event surfaces in Q1.                           |
| <b>July 2027 to June 2028</b> | <b>38%</b>  | The AI financing chain meets its refinancing wall as the Fed holds 4%+; the consumer's zero cushion gives way; the long end refuses a fourth rescue. The modal path. |
| July 2028 to end of 2029      | 22%         | The 2028 election put extends the game via premature easing (the 1972 Burns pattern); the top comes late and high; the bill is larger.                               |
| No 25%+ crash through 2031    | 20%         | Productivity escape, or a Muddle in which the long end finally accepts issuance control without a dislocation.                                                       |

So roughly 80% odds of a crash inside the five-year window and about 60% that it begins between now and mid-2028. The probability that the late-August record (7,799 on the S&P) was the cycle high is now about 20%, down from 30% on September 16, because the oil-relief rally carried the index back to within 0.3% of it; the probability that the cycle high is in by the end of 2026 stays near 35%. The 1972-73 shape, new highs into the political date and then the bill, is the modal near-term path.

## The shape

Not a single day. A correction of 10% or more before the November 4 refunding is about 40% likely and would be bought, because the rescue incentive is intact and the tools, while degraded, still exist. The real break is a sequence: a credit event in the AI financing chain or a failed long-end rescue; a first leg of 20–30% over two to four months; a policy response large enough to open the Monetization Gate; then a second leg as the recession shows up in earnings and the consumer. The 2028 election makes it likelier that the second leg is deferred into 2028–29.

## Why that window

- **The near term is held together by the calendar.** Incumbents' dominant move through November 3 is stability: buybacks, jawboning, strategic-reserve releases, tariff pauses, a clean continuing resolution to December 11. The tools are degraded but not yet gone.
- **The shocks need six to nine months to transmit.** \$108 oil, a Fed hiking into a 3.2% hires rate, and a 5% 10-year work through consumer credit, private-credit redemption queues, and the AI refinancing

chain on a lag. Oracle, the neoclouds, and the private-credit funds face their cash and refinancing tests in 2027.

- **2027 is when the policy conflict resolves.** Pressure to cut into 3%+ core inflation peaks in the first half of 2027 after the midterms. A Fed that gives in produces the melt-up top; a Fed that holds produces the slowdown top. Both meet the bond market in late 2027 with the tools already spent.

## What would move the date

**Earlier (into H1 2027):** a failed or failed-adjacent 30-year auction on October 8; private-credit redemption requests jumping again around October 1; the 30-year holding above 5.5% into the November 4 refunding; August hires rate printing below 3.2% on October 6.

**Later (into 2028):** Treasury cutting long-coupon sizes on November 4 and the long end accepting it; a real Hormuz de-escalation taking Brent under \$85; the Fed stopping after one more hike with the long end rallying; October 1 gate requests falling.

3 · WHERE THE MODEL STANDS

# Composite 70.0 of 100 · R3-upper — repression-lite onset (R4 band, Monetization Gate NOT met)

The composite equals the weighted sum of the 31 scores divided by three, scaled to 100. Regime bands are half-open: R3 covers 45 to 70, R4 covers 70 to 85, R5 covers 85 and above. Entering the R4 band does not produce a Regime 4 call unless the Monetization Gate is met (Fed duration purchases, yield caps, or sustained negative real policy rates under fiscal pressure). Treasury buybacks count toward the 30-year stress indicator but explicitly do not count toward the gate. The Crisis Gate for R5 requires a score of 85 plus one crisis event, or any two crisis events at any score.

| PILLAR           | POINTS | MAX | SHARE |
|------------------|--------|-----|-------|
| 1. Fiscal        | 38     | 51  | 75%   |
| 2. Supply/Demand | 32     | 48  | 67%   |
| 3. Monetary      | 24     | 39  | 62%   |
| 4. Fragility     | 32     | 36  | 89%   |
| 5. Bubble        | 34     | 42  | 81%   |
| 6. Consumer      | 20     | 39  | 51%   |
| 7. Big Cycle     | 30     | 45  | 67%   |
| Composite        | 210    | 300 | 70.0  |

**The one change this week.** Equity risk premium moved from 2 to 3: the 10-year at 5.008% against a forward earnings yield of 4.55–4.85% gives a premium of –0.15 to –0.45 points, midpoint –0.3, crossing the pre-registered "at or below zero" line. It is a single-input change (the bond yield) and it reverts to 2 if the 10-year falls back under 4.85% or the forward multiple drops under 20 times. Every other indicator was tested against its threshold and the September 10 prospective amendments and held. Six of 31 indicators sit at 3; 21 sit at 2. "Amber everywhere, red almost nowhere" remains the signature of a late-cycle system with no slack.

## All 31 indicators

| INDICATOR AND THRESHOLD RULE                                                                                   | CURRENT READING (MOST RECENT DATED NOTE FIRST)                                                                               | WEIGHT | SCORE |
|----------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|--------|-------|
| 1. FISCAL · 38/51 POINTS                                                                                       |                                                                                                                              |        |       |
| <b>Net interest / federal revenue</b><br>0:<10%   1:10-14   2:14-18  <br>3:>=18 (1991 record ~18; UK-1976 >20) | [Sep-16] net interest >\$1T FY26 (AAF, Aug MTS); ratio ~19-20% (earlier: ~18.6% FY26 (\$857B net interest in 9mo, +13% y/y)) | 6      | 3     |

| INDICATOR AND THRESHOLD RULE                                                                                                                     | CURRENT READING (MOST RECENT DATED NOTE FIRST)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | WEIGHT | SCORE |
|--------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|-------|
| <b>Deficit % of GDP</b><br>0:<3 (Dalio's 3% solution)  <br>1:3-5   2:5-7   3:>=7                                                                 | [Sep-22] CBO lifts FY26 to \$2.1T on a ~\$250B tariff shortfall (~6.6% GDP); IEEPA refunds \$135B paid (earlier: [Sep-16] FYTD (11mo) \$2.0T, ~6.3-6.5% GDP; CR funds govt to Dec 11; 5.8-6.1% (FY26 tracking \$1.9-2.0T; tariff offset gutted by SCOTUS IEEPA ruling))                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 6      | 2     |
| <b>Debt held by public % GDP</b><br>0:<75   1:75-90   2:90-105  <br>3:>=105 (1946 peak 106; CBO crosses ~106 by 2029-30)                         | 100.2% — crossed 100% April 2026; CBO path 118% by 2035                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 3      | 2     |
| <b>r-minus-g on federal debt</b><br>0:<=-1.5pp   1:-1.5-0   2:0-+1  <br>3:>+1pp                                                                  | -0.6 to -0.9pp (avg coupon 3.41% vs ~4-4.3% NGDP) but marginal 10Y = 4.63%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 2      | 1     |
| <b>2. SUPPLY/DEMAND · 32/48 POINTS</b>                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |        |       |
| <b>10Y term premium</b><br>0:<0   1:0-0.5   2:0.5-1.0  <br>3:>=1.0%                                                                              | [Sep-16] 10Y 5.008% post-FOMC (intraday >5.04%, highest since 2007); ACM TP not retrieved — score held (earlier: 0.73% (Jul 2026) — highest since 2014 after a decade near zero)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 4      | 2     |
| <b>Auction stress composite</b><br>0:none   1:occasional   2:>=6<br>serial tails OR dealer 2x norm  <br>3:tail>=4bp & BTC<2.2 at 10/30Y          | [Sep-22] 2Y auction 4.787% (highest since 2024), 0.2bp tail, indirects 57.8% (from 66%), dealers 13.2% (highest since Mar); 20Y Sep 15 stopped 5.42%; no >=4bp tail (earlier: [Sep-10] Score rests on the '>=6 consecutive tails in any tenor' clause: 5Y tail streak continued (Aug 26 +0.2bp). NOT on the 10Y: Sep 9 10Y BTC 2.71 (best since 2019), dealers 4.3%, stop-through — demand clears at a higher price. No failed-adjacent auction)                                                                                                                                                                                                                                                                                                                                                                                     | 5      | 2     |
| <b>Foreign official demand</b><br>0:official buying >\$100B/y  <br>1:flat   2:official selling,<br>private offset   3:broad selling<br>>\$300B/y | [Sep-22] July TIC: holdings -\$50.4B to \$9.25T (Japan -\$12.8B, 3rd straight); LT flows: PRIVATE net sellers -\$3.7B, official net buyers +\$44.4B (intervention-funding pattern, per the Sep-10 rule not scored as new stress). Held 2 (earlier: Official SOLD \$39.9B May-26; China \$652B (-\$113B y/y); private +\$172B offset)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 3      | 2     |
| <b>30Y yield stress level</b><br>0:<4.5   1:4.5-5.0   2:5.0-5.5  <br>3:>=5.5% (forced-intervention zone)                                         | [Sep-22] 5.29% (high close 5.33% Sep 18; 20Y 5.39% Sep 16); 10Y back to 4.95-4.97% on oil; 2s10s ~20bp (bear-flattening). Amendment clauses still unmet (no 5 closes >5.40; ops \$4-6B; Fed hiking; the Sep-10 op's pre-op level was regained only on session 6). Held 2 (earlier: [Sep-16] 5.25% last verified (Sep 15); ~5.35-5.40 implied by 10Y 5.01 + 30-37bp 10s30s (5.37% headline UNVERIFIED). Amendment clauses: >5.40 x5 sessions NO; buybacks >\$10B/op NO (\$4-6B); Fed duration NO; intervention-fails clause NOT met on the 30Y itself (5.31 pre-op -> 5.25). Held at 2; [Sep-10] 5.31% (2007 high; 5.33% Aug-18 peak) after TWO Treasury buyback escalations (Aug 19 \$4B/op, Sep 9 \$6B/op) each retraced within sessions. WATCH: score held at 2 under the unamended >=5.5% rule; see prospective amendment in log) | 4      | 2     |
| <b>3. MONETARY · 24/39 POINTS</b>                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |        |       |
| <b>Core PCE y/y</b><br>0:<2.5   1:2.5-3.0   2:3.0-4.0  <br>3:>=4.0%                                                                              | 3.4% (May-26, m/m highest since Oct-23); headline PCE 4.1%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 4      | 2     |



| INDICATOR AND THRESHOLD RULE                                                                                                                                    | CURRENT READING (MOST RECENT DATED NOTE FIRST)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | WEIGHT | SCORE |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|-------|
| <b>Inflation expectations (survey vs market)</b><br>0:<2.9   1:2.9-3.2   2:3.2-3.5<br>or gap>1pp   3:>=3.5 or breakeven>2.8                                     | [Sep-22] Philly Fed prices paid 48.6; CFO survey +4.1% planned price increases; UMich final Sep 25; Brent -10% to ~\$97 eases the impulse (earlier: [Sep-16] UMich 5-10y 3.4% (one tick from the 3.5 trigger), 1y 4.6%; import prices +7.0% y/y, PPI 5.4%; breakeven not retrieved; UMich 5-10y 3.3%, 1y 4.2%; 10Y breakeven anchored 2.28% — ~1pp gap)                                                                                                                                                                                                                                                                                                                                                                                                           | 3      | 2     |
| <b>Fed independence stress</b><br>0:none   1:rhetoric   2:attempted removals/probes/accord machinery   3:commanded easing                                       | [Sep-22] Trump: rates 'should be 1% or less', board 'very hostile... political', told Warsh to 'vote with the board'; no removal action; Barr seen as next target; Fed speakers (Collins, Goolsbee, Musalem, Barkin) all keep hikes on the table; Oct hike ~55% (earlier: [Sep-16] Fed HIKED 25bp 12-0 (incl. Cook) despite Trump 'clowns' / 'I won't allow that' / trade-halt threats — independence functioning; pressure at 2, not 3 (no commanded easing); Cook firing blocked 5-4; criminal probe of a Fed chair; Warsh confirmed 54-45 — but FOMC is HIKE-biased)                                                                                                                                                                                           | 4      | 2     |
| <b>Monetization &amp; real-rate stance (Stage-5 GATE)</b><br>0:real>=+1%, no buys   1:0-1%, bills-only   2:real<0 w/ PCE>3 OR coupon QE   3:YCC / real<-1% + QE | [Sep-22] Oct 27-28 hike priced ~55%, Dec ~90%; real EFFR ~+0.4%; RMPs zero this cycle; Treasury still buying long end (\$4-6B/op, next sizing at Nov 4 QRA). Gate CLOSED (earlier: [Sep-16] Fed hiked to 3.75-4.00%, median one more 2026 hike; real EFFR ~+0.3-0.5%; bills-only RMPs. Gate more firmly CLOSED; Treasury still buying duration (\$4-6B/op) — pre-Accord conflict persists; [Sep-10] Fed: real EFFR ~+0.3%, bills-only, ~59% priced to HIKE Sep 16 = affirmative evidence AGAINST the gate. Treasury buying duration (\$6B/op, bill-funded 'Treasury Twist') counts toward 30Y stress (market forcing fiscal action) but NOT toward this gate, which requires the FED to accommodate: documented trigger = Fed duration purchases or a formal cap) | 2      | 1     |
| <b>4. FRAGILITY · 32/36 POINTS</b>                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |        |       |
| <b>Shiller CAPE</b><br>0:<25   1:25-32   2:32-40 (>1929's 32.6)   3:>=40 (only Dec-1999's 44.2 higher)                                                          | ~40.9 (live 40.6-40.9, Jul 2026); Buffett indicator 234% of GDP (record; dot-com peak 172%)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 5      | 3     |
| <b>Equity risk premium</b><br>0:>=+3pp   1:+1-3   2:0-1   3:<=0                                                                                                 | [Sep-22] 10Y 4.95-4.97% (>4.85 revert line) vs fwd E/P ~4.45-4.65% at S&P 7,776 = -0.3 to -0.5pp. Stays 3 (earlier: [Sep-16] 10Y 5.008% vs fwd E/P 4.55-4.85% (21-22x fwd carried from Jul; S&P ~7,600) = -0.45 to -0.15pp; midpoint -0.3 -> band 3. Single-input change (10Y). REVERTS to 2 if 10Y <4.85% or fwd P/E <20x. Was: straddled zero at 10Y 4.63)                                                                                                                                                                                                                                                                                                                                                                                                      | 3      | 3     |

| INDICATOR AND THRESHOLD RULE                                                                                                                     | CURRENT READING (MOST RECENT DATED NOTE FIRST)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | WEIGHT | SCORE |
|--------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|-------|
| <b>Credit complacency/stress (two-sided)</b><br>0:HY 350-500   1:300-350/500-600<br>  2:<300 (complacency) or 600-800   3:>800 or PC defaults>6% | [Sep-22] HY OAS 268bp; Fitch private-credit TTM default 6.3% (record, from 6.1%); ALL tracked perpetual BDCs capped at 5% in 2Q; OBDC marked Loparex ~5c; public BDCs ~25% below NAV; no insurer writedown / BDC bond >600 / covenant breach / HY >500. NOTE: the original written clause 'PC defaults >6%' is now exceeded; the Sep-10 amendment (which made the four listed triggers the scoring rule) governs -- held 2; flagged for the next rule review (earlier: [Sep-16] HY OAS 265bp (Sep 11); BCRED capped 5% for 2nd straight qtr; Blue Owl/HLEND Q3 ~Oct 1; no insurer writedown / BDC >600 / covenant breach / HY >500 — held at 2; [Sep-10] HY OAS 265bp / IG ~78bp richest decile; Fitch private-credit default rate RECORD 6.1% (headline incl. extensions); BCRED capped 3rd qtr, Cliffwater capped; BDC median discount ~26%, non-accruals highest since 2017; LL defaults 0.87%. 'High 2' — the 3-clause's transmission-to-insurers/pensions leg is NOT evidenced) | 4      | 2     |
| <b>5. BUBBLE · 34/42 POINTS</b>                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |        |       |
| <b>Top-10 S&amp;P concentration</b><br>0:<22   1:22-27 (2000 peak)   2:27-35   3:>=35%                                                           | ~38% top-10 (top-5 ~30%, most in 50+ yrs); AI names = 75% of returns since Nov-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2      | 3     |
| <b>AI capex-to-revenue gap</b><br>0:<\$100B   1:100-300   2:300-500   3:>=\$500B                                                                 | ~\$455-525B: big-4 2026 capex \$725B (+77% y/y, confirmed) vs genAI revenue ~\$200-270B; midpoint ~\$490B -> band 2 by tiebreak; divergence 46% vs 32% at telecom-2001 peak                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 3      | 2     |
| <b>Circular / vendor-financed revenue share</b><br>0:<5   1:5-15   2:15-30 (Lucent zone)   3:>=30% or vendor debt guarantees at scale            | [Sep-10] SIGNED: NVDA \$105B residual-value guarantee on OpenAI's 20-yr Ohio lease (8-K Aug 17; cut from \$250B) = vendor credit support >= 1 quarter of revenue and > NVDA's \$99B equity book (stakes in its own customers). Watch, not counted: \$500B platform (no deal), \$36B rev-share (paused), Broadcom ~\$100B (assembling)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 2      | 3     |
| <b>Debt/SPV-financed share of AI capex</b><br>0:<10 (2024 cash phase)   1:10-20   2:20-35   3:>=35% (JST regime-flip)                            | [Sep-22] AI-related USD debt YTD \$568B (\$259B IG, \$256B private, \$40B HY); GS \$420B hyperscaler bonds 2027; AI-issuer spread ~115bp vs IG 78bp; Meta DC ladder pricing wider each deal (7.5% -> 8.25%). Approaching 35%; held 2 (earlier: [Sep-16] ORCL \$20B ATM exhausted, FCF -\$5.4B/qtr, FY27 capex \$90-95B now debt/lease-only; GS est hyperscaler bonds \$250B 2026 / \$400B 2027 — approaching 35% band; ~25-35% 2026E vs ~10% 2024: \$175B bonds, >\$200B private credit, >\$120B SPV in 18mo)                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 2      | 2     |

| INDICATOR AND THRESHOLD RULE                                                                                                                                                    | CURRENT READING (MOST RECENT DATED NOTE FIRST)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | WEIGHT | SCORE |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|-------|
| <b>Forensic first-credit-event tripwires</b><br>0:none   1:warning proximity >=2   2:1-2 confirmed   3:>=3 confirmed or any AI credit default                                   | [Sep-22] Oracle Project Jupiter ~\$18B project loans quoted 89-91c, syndication stalled (first sub-90 hyperscaler-linked project loan); NVDA DSO 60 (=threshold, not >); lenders reportedly declined Oracle as Abilene tenant (single source); ORCL CDS 190-215bp. Still 1 confirmed -> held 2 with proximity at maximum (earlier: [Sep-16] still 1 confirmed (ORCL CDS ~200bp regime). NOT on list but regime-relevant: labs' 'pace the frontier' (Sep 12-14), OpenAI IPO deferred to 2027, Moody's Baa2 NEG on ORCL, CRWV -8% — proximity up, held at 2; [Sep-10] 1 CONFIRMED on list: ORCL 5Y CDS >150bp (record ~215bp Aug; BBB-, FY27 FCF -\$42B guided). Adjacent/not listed: NVDA Q3 GM guide -100bp, top-3 customers 44% of rev, CRWV CDS ~855bp. NOT: no capex cut (3 raises/0 cuts), MSFT LENGTHENED DC lives 15->25y, no AI credit default) | 3      | 2     |
| <b>Retail froth (margin debt + ODTE)</b><br>0:<2.5   1:2.5-3.0 (2000 ~2.8)   2:3.0-3.5   3:>3.5% GDP or ODTE>55%                                                                | [Sep-22] FINRA Aug margin debt \$1.45T record (+2.6% m/m, +37% y/y) (earlier: Record \$1.53T margin debt (+51.5% y/y, ~4.0% GDP > 2021 peak ratio); ODTE 59-65% of SPX volume)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 2      | 3     |
| <b>6. CONSUMER · 20/39 POINTS</b>                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |        |       |
| <b>Card + auto 90+ delinquency transitions</b><br>Card 0:<5.5   1:5.5-6.5   2:6.5-9.0   3:>=9.0 (GFC 13.7). Auto 0:<2.4   1:2.4-2.7   2:2.7-3.3   3:>=3.3                       | [Sep-22] COF Aug 30+ 3.57% per 8-K (vs 3.73% carried Sep 16 -- reconcile); claims 196K, continuing 1.73M lowest since Jan-24; Redbook decelerating 8.5 -> 7.6% (earlier: [Sep-16] NY Fed Q2 card transition 6.97% steady; COF Aug 30+ 3.73% (Jul 3.67%) drifting up; retail sales +1.2%/control +1.4% Aug vs UMich 47.8 & real AHE -0.1% y/y; Card ~7.0% (peak 7.2% mid-24, plateaued - highest since 2011, ~half the GFC's 13.7%); auto ~2.9-3.0% - NY Fed Q1-26: auto delinquency highest ever recorded)                                                                                                                                                                                                                                                                                                                                             | 4      | 2     |
| <b>Utilization / maxed-out / min-pay share</b><br>0:minpay<9.5 & maxed<8   1:9.5-10.3   2:>=10.3 (record zone) or maxed>=10%   3:minpay>11 & util>26%                           | Min-pay ~10.5-10.9% (series record); ~10% of borrowers maxed out (1-in-6 GenZ); avg utilization ~29% (Experian); APR ~22-23%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 2      | 2     |
| <b>Subprime auto 60+ (Fitch ABS index)</b><br>0:<4.0   1:4.0-5.0   2:5.0-6.0, or >=6.0 with prime contained   3:>=6.0 AND prime 60+ >0.6% (stress escaping the bottom quartile) | [Sep-16] no Aug index yet; 6.13% Jul / prime 0.49% stand (earlier: [Sep-10] RE-ACCELERATING: 6.13% Jul (from 5.80% Jun; record 6.90% Jan); Fitch guides 'weaken further in H2'; PRIME 60+ 0.49% vs 0.6% escape trigger (closest yet); America's Car-Mart at going-concern (non-fraud failure candidate #1, covenant runaway to Nov 6))                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 2      | 2     |
| <b>Student loan 90+ share</b><br>0:<6   1:6-9   2:9-12   3:>=12% or >15% of portfolio garnished                                                                                 | [Sep-10 CORRECTION] involuntary collections PAUSED since Jan 16 2026 (not scaling); ~5.3-5.5M in default = latent drag; 90+ share ~10%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 1      | 2     |
| <b>Household debt service ratio</b><br>0:<10.5 (2019 ~9.8)   1:10.5-11.5   2:11.5-13   3:>=13% (2007 peak 13.2)                                                                 | ~9.9-10.1% — AT 2019 levels; ~95% of mortgages fixed sub-4%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 2      | 0     |

| INDICATOR AND THRESHOLD RULE                                                                                                                                               | CURRENT READING (MOST RECENT DATED NOTE FIRST)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | WEIGHT | SCORE |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|-------|
| <b>Subprime lender defaults / funding stress</b><br>0:none   1:1 idiosyncratic, spreads re-tighten   2:2-3 in 12mo or +200bp sustained   3:funding freeze                  | [Sep-22] Credit Acceptance \$694M 40-AG settlement (Sep 17); America's Car-Mart \$300M facility deadline extended to Sep 25, bankruptcy 'an option'. A Car-Mart filing would be failure #2 in 12 months -> 2 (earlier: Tricolor Ch.7 (Sep-25, \$1.4B ABS, fraud, >\$1B bank hit) + First Brands; spreads re-tightened; no verified 2026 failures)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 2      | 1     |
| <b>7. BIG CYCLE · 30/45 POINTS</b>                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |        |       |
| <b>Internal disorder index</b><br>0:normal   1:polarized   2:Stage-5 markers   3:Stage-6 onset (contested election, organized violence)                                    | [Sep-22] ICE officer shot a delivery driver in Austin (Sep 20), multi-day protests; three outlets banned from the White House; approval 32-41%; 3,073 Guard in DC to 2029; Russia/Iran sanctions law signed Sep 18 (earlier: [Sep-16] Fed hike delivered under open WH attack; midterms D+7-9, Dem Senate odds ~59%; no violence in window; Stage 5: political attacks at 30-yr high; two assassinations + one attempt; top-1% wealth 31.7% (record); Nov-26 midterms ahead)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 5      | 2     |
| <b>External conflict index</b><br>0:none   1:trade war   2:regional war + commodity disruption OR truce fraying   3:great-power confrontation                              | [Sep-22] Two-track: new US strikes on IRGC targets Sep 22 AND a 3-hr US-Iran meeting in NY ('very productive'; Trump: deal 'right after' Nov 3); Hormuz transits still <=15/day; Saudi E-W pipeline restarted at low rate; Brent ~\$97 (-10%); sanctions law with up-to-100% secondary tariffs on top-5 Russian-oil buyers (China, India) SIGNED; CCG-Philippine collision Sep 18; DPRK SRBMs Sep 20. Held 2 (earlier: [Sep-16] Hormuz transits single digits; US destroyed 5 Iranian tankers (Sep 8-9); Houthis seized 2 Red Sea islands, Saudi East-West pipeline out for weeks; Brent \$108; first NATO drone shoot-down over Lithuania (Sep 15); India-Pak naval collision; secondary-tariff bill (100% on top-5 Russian-oil buyers) advancing. Offsets: Xi state visit Sep 23-25, truce extension expected. HIGH 2; 3 requires great-power confrontation; Iran war since Feb-26, Brent \$86.6 (>\$90 in July); new 12.5% S.301 tariff Jul-23-26; truce expires Nov-10-26) | 3      | 2     |
| <b>Reserve erosion &amp; gold signal</b><br>0:COFER>60   1:57.5-60 drifting   2:55-57.5 + gold>USTs + CB>700t/y + gold+20%y/y   3:<55 falling fast or triple confirmed 3mo | [Sep-22] gold ~\$4,310 spot / \$4,409 Dec fut (+17% y/y; -23% from ATH) through a Fed hike and DXY ~100.6; BTC \$86K (+14% wk); July TIC -\$50B; COFER Q2 due Sep 30. Held 2, weakening (earlier: [Sep-16] gold \$4,263-4,348 (6-wk low, -24% from ATH, ~+17-19% y/y — the +20% clause is now borderline); PBOC +20.2t Aug (largest since Oct-23), CB Q2 record 289t; DXY 99.6 firming; Japan funding intervention via FIMA repo not UST sales. Held 2, WEAKENING; downgrade to 1 if COFER Q2 (Sep 30) >57.5 AND gold y/y <20%; [Sep-10 CORRECTION] gold ATH was \$5,596 (Jan 28 2026); ~\$4,400 now = -20% from record, ~+20% y/y. Score rests on LEVEL clauses that survive: COFER 57.13% (in 55-57.5 band, though UP q/q), gold > USTs in CB reserves, gold +~20% y/y; CB buying slower YTD. Dalio triple 2 of 3 (yields up, DXY 98.8 down; gold NOT up since Jun 1). Low end of 2)                                                                                         | 4      | 2     |

| INDICATOR AND THRESHOLD<br>RULE                                                                                                                                                                                                   | CURRENT READING (MOST RECENT DATED NOTE FIRST)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | WEIGHT | SCORE |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|-------|
| <b>China / global contagion index</b><br>0:FAI>+4, JGB30<2, PMI>52  <br>1:FAI 0-4 or JGB 2-3   2:FAI<br>contracting + JGB30>3 +<br>PMI<=50.5   3:China credit event<br>/ CNY>7.5 / carry unwind 2.0 /<br>JP repatriation>\$200B/y | [Sep-22] LPR held 16th month ('no need to cut'); banks told to keep<br>Vanke loans off NPL books; property investment -19.9% YTD; CNY<br>6.70 (strongest since Jan-23); OAT-Bund 105bp (first >100 since 2012;<br>Scope cut France to A+); UK 30Y ~5.75%; JGB 30Y 4.07%; MOF<br>cutting super-long issuance for lack of insurer demand. Held 2 (earlier:<br>[Sep-16] China Jan-Aug FAI -7.2% y/y (CNBC; deepening), retail<br>+0.4%, Aug new loans RMB 60bn vs 400bn exp, M2 17-mo low, home<br>prices -39th month; JGB 30Y 4.15% (near record), 30Y auction cover<br>2.92 worst since 2023; CNY 6.71 STRONG (opposite of the 7.5 trigger);<br>Korea chips +270% y/y. Held 2; China FAI -5.7% y/y H1-26 (property<br>-14%, PPI negative ~39mo); 30Y JGB ~3.5% record, yen ~164; global<br>PMI ~49.7-50.8) | 3      | 2     |

Gates: monetization = not met (Fed hiked, real policy rate positive, bills-only reserve management). Crisis = not met (no failed 10–30-year auction, Dalio triple not confirmed, no buyers' strike). Playbook for this regime: Defense with carry: underweight long nominals (bills/TIPS instead); gold 10-15%; equal-weight/value/ex-US tilt; avoid the AI-circularity credit chain and tightest-decile HY; own convex hedges; 6-12mo liquidity — drawdowns arrive as air pockets.

## 4 · WHAT HAPPENED 10–22 SEPTEMBER

## Twelve sweeps, pillar by pillar

### The week after the hike, September 16–22

- **Rates and the Fed.** 2-year 4.77%, 10-year 4.96%, 30-year 5.29% (high close 5.33% on September 18); 2s10s about 20bp, from 33bp on September 11. The 2-year auction cleared at 4.79%, the highest since 2024, with indirect takedown down to 58% and dealers at their highest share since March. October hike odds about 55%, December about 90%; Schmid, Collins, Goolsbee, Musalem and Barkin all kept further hikes on the table. Trump: rates "should be 1% or less," the board is "very hostile, very political," and he told Warsh to "vote with the board." No removal action. The first \$6B buyback filled only \$5.19B; Treasury deferred sizing to the November 4 refunding.
- **BOJ and Treasuries abroad.** BOJ hiked to 1.25% by 7 to 2 with dovish guidance; the yen fell to 158, a rate check was reported, and Japan was closed September 21 to 23. July TIC: foreign holdings fell \$50.4B to \$9.25T, Japan sold for a third month, and private foreigners were net sellers of long-term US securities while officials bought \$44.4B. Japan's finance ministry is cutting super-long issuance for lack of insurer demand. BoE held and stopped selling long gilts.
- **Geopolitics.** Two tracks at once: new US strikes on IRGC targets on September 22 and a three-hour US-Iran meeting in New York the same day, with Trump saying a deal comes "right after" the midterms. A conditional seven-day Hormuz reopening offer was floated and denied. Saudi Arabia restarted the East-West pipeline at a low rate and pushed about 2.9 mb/d through Hormuz; transits are still at most 15 ships a day. Brent fell from \$108 to \$97. Trump signed the sanctions law with up-to-100% secondary tariffs on the top five buyers of Russian oil, naming China and India. Xi arrives September 23 with an AI dialogue, a trade committee and a \$30B tariff-cut framework agreed, no business delegation, and a demand to halt Taiwan arms sales. A Chinese coast-guard ship collided with a Philippine vessel. France's OAT-Bund spread broke 100bp with a Scope downgrade; the CDU fell below 5% in a state election.
- **AI capex and credit.** Oracle's Project Jupiter project loans (about \$18B) quoted at 89 to 91 cents with syndication stalled; OpenAI's leaked deck: \$856B of compute against \$840B of cumulative revenue through 2030, free cash flow of negative \$278B, cash exhausted by 2028, while seeking a round above \$1.2T; SoftBank marketing about \$11B of junk near 10% to fund its OpenAI stake; Fitch private-credit default rate a record 6.3%; every tracked perpetual BDC capped at 5%; Blue Owl marked one loan to 5 cents; Meta-linked data-center bonds pricing wider each deal. Against that: Korea's chip exports +259%, Taiwan's export orders +71%, GPU financing clearing at 6 to 9% for scaled operators, Nvidia at \$227 (3.5% from its high), Micron through \$1,000. Microsoft's capex "cut" from \$190B to \$175B is a depreciation-life reclassification. Burry added shorts in Micron, Nebius, the semiconductor ETF and Palantir.
- **Consumer.** Initial claims 196K and continuing claims the lowest since January 2024; mortgage rate 6.95%, above 7% on daily quotes; Lennar's orders down 9% with half of visitors unable to qualify; Redbook decelerating; Credit Acceptance's \$694M settlement; America's Car-Mart's \$300M facility deadline extended to September 25 with bankruptcy an option; CBO raised the FY26 deficit to \$2.1T on a \$250B tariff shortfall. GDPNow 5.1%; Philly Fed prices paid 48.6.
- **Markets.** S&P 7,776 (0.3% from its record), Nasdaq at a record, VIX 14.25, a \$7T triple witching passed quietly. Breadth narrow: NYSE Composite flat on the week, Russell 2000 down 4% on the month,



financials down 1.9% on the day. Goldman models CTAs as sellers in every one-week scenario; August margin debt a record \$1.45T; buyback blackout in force. Gold about \$4,310 to \$4,409 (+17% year over year), bitcoin \$86K, copper \$6.92, dollar index about 100.6.

## The FOMC week, September 10–16

### Fed, Treasury, and rates

- FOMC hiked 25bp to 3.75–4.00%, 12–0 including Governor Cook, first hike since July 2023, citing energy-driven inflation. Median dot: one more hike in 2026; 16 of 18 see at least one more; none in 2027; cuts in 2028 and 2029. Unemployment projection 4.1%, GDP 2.3%.
- 10-year 5.008% post-decision, intraday above 5.04%, highest since 2007; 2-year 4.717% (+5bp). The long end rose on the hike. The "1994 counter-read" (credible hike compresses term premium) failed on the day it was tested.
- 30-year last verified 5.25% on September 15; roughly 5.35–5.40 implied by the 10-year and the 30–37bp 10s30s spread; a 5.37% headline was not verifiable. The September 10 Treasury buyback accepted \$5.19B of a \$6B maximum and the selloff intensified. Buybacks run at \$4–6B per operation through the November 4 refunding.
- August CPI 3.4% headline, core +0.3% m/m; PPI 5.4% y/y; import prices +7.0% y/y, the largest since August 2022; UMich one-year expectations 4.6%, five-to-ten-year 3.4% (one tick from the 3.5% trigger).
- ECB hiked 25bp on September 10 (deposit rate 2.50%). BOJ hike about 80% priced for September 18; 30-year JGB 4.15%, the September 3 30-year auction cover of 2.92 was the worst since 2023. Japan's finance ministry has said it will fund yen intervention via the Fed's FIMA repo facility rather than sell Treasuries.
- White House pressure escalated ("clowns"; "I won't allow that to happen"; trade-halt threats against surplus countries). The Fed hiked anyway. No Section 899 legislative text surfaced.

### Geopolitics and global tensions

- **Iran / Gulf (tension 3, rising).** No ceasefire. US destroyed five Iranian crude tankers (September 8–9) in retaliation for attacks on a US warship; a products tanker was struck near Hengam Island on September 13; Hormuz transits in single digits per day; war-risk premiums 7.5–10% of hull value. The GCC–Iran ministerial on Hormuz was postponed after a Saudi–Oman split. Iran's foreign minister traveled to Beijing on September 16. Rial at a record 2.2 million per dollar; inflation 82% y/y. Brent \$108, WTI ~\$100–102; Goldman sees \$120+ in 2027 if Gulf output stays 4 mb/d below pre-war.
- **Red Sea / Houthi–Saudi (3, rising).** Houthis seized two more southern Red Sea islands on September 14; Saudi Arabia's East-West pipeline, the workaround for a closed Hormuz, is mostly out of service for weeks after drone strikes; sustained missile and drone attacks on Khamis Mushait and Yanbu; Saudi Arabia is appealing to Western allies.
- **Russia–Ukraine (2).** Witkoff and Kushner met Putin for three hours with no breakthrough; a claimed energy truce was contradicted by Ukraine's strike on the Syzran refinery on September 15. A sanctions bill with 100% secondary tariffs on the top five buyers of Russian oil (China and India exposed) cleared a House procedural vote 214–211.

- **NATO–Russia (2, rising).** First-ever drone shoot-down over Lithuania by NATO air policing on September 15; a Russian frigate fired flares at a Danish helicopter; Poland scrambled jets.
- **China–US (1, stabilizing).** Xi state visit to Washington September 23–25; the likely deliverable is a one-year extension of the Busan truce (expires November 10) plus modest tariff cuts and rare-earth licensing. Some Chinese rare-earth suppliers have suspended shipments to US customers since August. Taiwan Strait activity is routine patrols; no named exercise.
- **Other.** Indian and Pakistani warships collided in the Arabian Sea on September 15 with reciprocal protests. North Korea staged a missile and drone drill. Iranian state-linked actors probed over 100 US water utilities over the summer. US domestic: continuing resolution to December 11 passed 370–48; generic ballot D+7 to D+9; Democratic Senate odds about 59%.
- **Europe.** OAT–Bund spread ~85bp with France's 2027 budget due September 30; UK 30-year gilt near 5.9% with a budget on October 28; German 30-year 3.79%, a 13-year high.

## AI capex and the credit chain

- Oracle Q1 FY27 (September 10): revenue \$19.3B (+30%), OCI +121%, RPO \$664B, but capex \$28.5B in the quarter, free cash flow –\$5.4B, total debt ~\$125B, the \$20B equity program fully used, FY27 capex reaffirmed at \$90–95B gross. The next \$70B is debt or leases. Stock –4.7% to ~\$140, –22% YTD; CDS in a ~200bp regime; Moody's outlook negative.
- September 12–14: OpenAI, Anthropic and Google publicly discussed "pacing the frontier"; OpenAI said no IPO in 2026. The market priced it as capex-cycle risk: NVDA –3.4%, AVGO and AMD –4%, CoreWeave –8% pre-market. TSMC's August revenue was a record +53% y/y; Korea's chip exports ran +270% y/y in early September. Demand data are strong; the financing is the fragile leg.
- Private credit: BCRED capped redemptions at 5% for a second consecutive quarter (about 10% requested). Blue Owl, HLEND, Apollo ADS and Ares ASIF Q3 windows are due around October 1. High-yield spreads 265bp, still in the complacency band; no fallen angels or defaults surfaced.
- Circularity scorecard (confirmed): Nvidia's \$105B residual-value guarantee on OpenAI's Ohio site plus \$1.5B equity; Nvidia's stake in xAI's GPU SPV; Meta–Blue Owl's \$27.3B off-balance-sheet vehicle; Oracle's OpenAI-dominated backlog funded by Oracle debt; Crusoe's \$3B raise underwritten by a \$13B Jane Street contract; \$194B of hyperscaler bonds year to date with Goldman projecting \$250B in 2026 and \$400B in 2027.
- Sentiment: BofA's fund-manager survey shows cash rising to 3.9%, semis the most crowded long, AI capex the number-one systemic credit fear, and AI-bubble fear at a survey high. CTAs are 100% max long with about \$74B of selling triggered on a down tape; roughly half the index is in buyback blackout. Burry sold his December 2026 NVDA and PLTR puts (time decay) and kept 2027 PLTR and QQQ puts and his shorts.

## Consumer, labor, and housing

- August retail sales +1.2% (control group +1.4%, the largest in nearly two years), nominal and gasoline-flattered; BofA card spending +4.5% y/y. UMich sentiment 47.8 (second straight decline); Conference Board expectations below the recession line since February 2025.



- Payrolls +162K in August with net upward revisions; unemployment 4.1%; initial claims 206K; hires rate 3.2% (at the trigger); saving rate 3.0% (at the trigger); real hourly earnings −0.1% y/y; gasoline \$4.33 and rising.
- Credit: NY Fed card transition rate 6.97% steady; Capital One's August 30-day delinquency 3.73% (from 3.67%) with charge-offs easing; Fitch subprime auto 60-day 6.13% in July (from 5.67%), prime 0.49% against a 0.6% trigger; no new lender failure; student-loan collections still paused.
- Housing: 30-year mortgage 6.76%; existing-home months of supply 4.9, the highest in over a decade; NAHB 32 with 38% of builders cutting prices; CMBS special servicing 11.42%, the highest since 2013.
- Fiscal: FY26 deficit \$2.0T through eleven months; net interest above \$1T; the \$2,000 tariff dividend remains unfunded; no shutdown risk at September 30.

## China and the global cycle

- August activity (September 15): industrial production +5.2% on exports; retail sales +0.4%, the weakest of the year; fixed-asset investment −7.2% year to date per CNBC (one aggregator quoted a positive figure; the contraction reading is used); property prices down a 39th straight month. August new loans ¥60B against ¥400B expected; M2 growth at a 17-month low. No stimulus announced. Exports +25% with a record \$805B cumulative surplus. Yuan 6.71, the strongest in years.
- Reserves and gold: PBOC bought 20.2 tonnes in August, its largest monthly addition since 2023 and 22nd straight month; central banks bought a record 289 tonnes in Q2. Gold nonetheless fell to a six-week low near \$4,263–4,348, about 24% below the January record and roughly +17–19% y/y, so the "+20% y/y" clause of the reserve-erosion indicator is now borderline. Dollar index 99.6, firming. Bitcoin ~\$76K.

## 5 · THE GAME-THEORY LAYER

## Who moves, why, and where it converges

This section is analysis, not a data series. Each game is a repeated interaction whose equilibrium explains a piece of the projection. The purpose is to show that the near-term stability everyone is counting on is a product of incentives rather than fundamentals, and that each round played shrinks the policy space available for the next one.

| GAME                                                                                                | PLAYERS AND PAYOFFS                                                                                                                                                                                                                                                              | DOMINANT MOVES                                                                                                                                                                                                 | EQUILIBRIUM                                                                                                                                                                                                                                                        | THIS WEEK'S MOVE                                                                                                                                             |
|-----------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Reverse-Accord chicken</b><br>Fed vs Treasury                                                    | The Fed wants credibility on 3%+ inflation without becoming the fiscal agent. Treasury wants long yields contained through November 3 without formal yield control. Each side's move raises the other's cost: hikes lift the interest bill; bill-funded buybacks drain reserves. | Neither swerves before the election. The first formal move is the November 4 refunding: cut long-coupon sizes (Treasury swerves; yield control by issuance) or hold "regular and predictable" (the treadmill). | No formal cap until a dislocation legitimizes it. The 1951 Accord followed the 1950 inflation shock; the 2022 gilt rescue followed a four-day crash. Repression needs a crisis to become politically possible, so the crash is the mechanism, not the alternative. | Fed hiked 12–0; long end sold off; buyback undersubscribed. The Fed did not swerve; the market now tests Treasury.                                           |
| <b>Foreign holders' exit</b><br>Japan, China, Gulf, Europe                                          | Everyone wants slightly less exposure; nobody wants to be the seller who marks down their own book. A bank-run structure.                                                                                                                                                        | Slow rotation into gold, shorter duration, keep bills. Fund interventions through Fed facilities rather than sales (Japan). Hold, do not add (China).                                                          | Gradual erosion, not a dump, unless Section 899 or secondary tariffs change the payoff to holding. The structural loss is Japanese duration demand: a 4.15% 30-year JGB makes home bonds competitive.                                                              | PBOC +20t; Q2 central-bank buying a record 289t; June TIC top-three holders added; Japan chose FIMA repo over sales.                                         |
| <b>AI capex prisoner's dilemma</b><br>Hyperscalers, labs, Nvidia, Oracle, neoclouds, private credit | If all build: overcapacity later, stock rewarded now. If one cuts alone: loses the race, stock crushed. Vendor guarantees move the financing constraint onto the vendor.                                                                                                         | Build. The overbuild ends when the financing channel closes, not when demand disappoints. Demand disappointment is the second leg (railroads 1873, Lucent 2000).                                               | The first credit event surfaces in vendor and neocloud paper (Oracle CDS ~200bp, CoreWeave bonds ~13%), then in the private-credit funds that hold it. Watch October 1 gates and Oracle's next debt raise, not Nvidia's guidance.                                  | Labs signaled "pace the frontier"; OpenAI IPO deferred; Oracle equity leg exhausted; BCRED gated twice. Cooperation talk means the payoff to defection fell. |
| <b>Oil-as-weapon attrition</b><br>US/Israel vs Iran; Houthis vs Saudi                               | Iran's best play: keep oil high with no decisive escalation, raising US inflation and constraining the Fed into the midterms. The US: contain, blockade, "war ends after the election."                                                                                          | Sustained low-intensity tanker war; Iran seeks China's shield. Houthis widen to Saudi export routes.                                                                                                           | Brent \$100–115 through November, then de-escalation offers. Tail: Hormuz fully closed plus Yanbu compromised, both Saudi export routes down, the one path to \$150.                                                                                               | Five tankers destroyed; Hormuz single digits; Houthis seized islands; Saudi pipeline out; GCC–Iran talks postponed.                                          |

| GAME                                                               | PLAYERS AND PAYOFFS                                                                                                                                                                       | DOMINANT MOVES                                                                                                                                                                  | EQUILIBRIUM                                                                                                                                                                                     | THIS WEEK'S MOVE                                                                                                         |
|--------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| <b>China's patience</b><br>Xi vs Washington; Xi vs his own economy | Xi wants chip self-sufficiency, export relief for a deflating domestic economy, and Treasuries kept as leverage. Trump wants prices down into the midterms. Both need a truce that lasts. | Extend the Busan truce at the September 23–25 visit; trade small tariff cuts for rare-earth licenses; PLA patrols continue as background pressure.                              | A managed rivalry that holds while both need it, roughly through Q1 2027. China exports its deflation, which is disinflationary for goods and a job-loss story for everyone else. Tail: Taiwan. | FAI –7.2%, loans ¥60B, retail +0.4%: the domestic squeeze raises Xi's payoff to a truce. Yuan at its strongest in years. |
| <b>Election calendar</b><br>White House, Congress, the Fed         | Pre-election, incumbents' dominant move is stability. Post-election, the payoff to growth-at-any-cost rises and the cost of inflation-fighting falls.                                     | Hold everything together to November 3. Then pressure the Fed to cut into 3%+ core (the Burns test) through H1 2027, with a likely Democratic House removing any fiscal offset. | Deficits stay near \$2T; the Fed becomes the only adjustment valve; the second hike (October 27–28) is the last the calendar permits. The accident is likelier when the calendar stops helping. | "Clowns"; "I won't allow that." The Fed hiked anyway. Democratic Senate odds ~59%. CR passed 370–48.                     |

**Meta-equilibrium: where the world is going.** Every player's dominant strategy is to keep the game going through November 3, which is why Muddle is still the single largest scenario. But each "keep it going" move (a buyback, a vendor guarantee, a redemption gate, a FIMA repo, a truce extension) spends policy space the next round no longer has. The system is converging on a repression regime (negative real rates, issuance control, captive buyers, a weaker dollar, gold as the reserve asset of choice) because it is the only equilibrium that clears a \$2T deficit at a 5% marginal cost of borrowing. That regime needs a crisis to legitimize it, and the market has refused to accept caps voluntarily three times (August 19, September 9, September 16). The modal path is therefore crash then repression, not repression instead of a crash. Geopolitically the structure is a managed US–China rivalry with hot proxy theaters (Gulf, Red Sea, Ukraine, Baltic) that keep an energy risk premium in the system: an inflation floor near 3% that the Fed cannot hike away and that the bond market keeps repricing. The five-year endpoint is a dollar that buys less, nominal assets that survive, real assets that win, and long nominal bonds that lose in real terms.

## 6 · THE 2028 ELECTION OBJECTION

## Would the presidential election keep the game going? Partly, and it changes the shape more than the odds

**Where the objection is right.** The incentive that holds everything together through November 3, 2026 does not switch off on November 4. The White House wants a strong market and cheap gasoline in November 2028 too, so the pressure to keep buying duration, pausing tariffs, and leaning on the Fed continues for two more years. The clearest precedent is 1972: Nixon needed re-election, Burns eased into it, the market made a new high in January 1973, and the bill arrived in 1973 and 1974.

### Why it does not cancel the accident.

- **The tools shrink with each use.** The midterm put works because the tools are fresh and the window is six weeks. Holding a bond market for two years with buybacks that are already undersubscribed, a Fed that is hiking, and \$2T deficits is a different problem. Each rescue the market shrugs off teaches it how small the put is.
- **The election put only works on players who answer to the calendar.** Treasury, the White House, and to a degree the Fed do. The bond market, private-credit redemption queues, Oracle's refinancing schedule, foreign reserve managers, and Iran do not. The 2026 tantrums were contained because the calendar-driven players still had ammunition; the 2027 cracks come from the players who do not care about the calendar.
- **Elections change the policy response, not the arrival of shocks.** 2008 crashed six weeks before an election; the 2000 top came eight months before one; 2020 crashed in an election year. What the calendar does is make the response more aggressive, which is why the 2028 election is already inside the map: Second Wave has wave two peaking into the election, Fracture has a contested 2028, and Repression has the Fed cutting hard in 2028.

**What it changes.** The 2028 incentive makes premature easing more likely, not less. A term-limited president with nothing to lose and a party that needs 2028 will push for cuts into 3%-plus core inflation through 2027. That is the Burns test, the entry condition for the worst scenario rather than the best one. So the election argument moves timing mass, not safety mass: roughly five points of crash probability move from 2027 into 2028–29 (the center of mass widens to 2027–29); the odds rise that the top comes late and high on a cut-driven melt-up (the 1972–73 shape) rather than early and low; Second Wave's weight and its inflation leg rise. Muddle does not gain much, because Muddle requires the long end to cooperate for two years and it has now refused three times.

**Net.** The 2028 election is a reason the crash could arrive later and bigger, not a reason it does not arrive. The calendar buys time, the time gets spent on more inflation and more leverage, and the reckoning lands with a larger bill either just before or just after November 2028.

## 7 · SCENARIO PROBABILITIES AND THE SIX PATHS

## How the weights have moved, and what each path looks like to 2031

| UPDATE                              | MUDDLE    | REPRESSION | AI BUST   | SECOND WAVE | ESCAPE    | FRACTURE | DRIVER OF THE CHANGE                                                                                                                                                             |
|-------------------------------------|-----------|------------|-----------|-------------|-----------|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| July 28 baseline (post-adversarial) | 35        | 18         | 16        | 9           | 19        | 3        | Anti-doom review moved ~10 points to benign states; 1970s transmission machinery mostly gone.                                                                                    |
| August 19                           | 33        | 21         | 15        | 10          | 18        | 3        | Private-credit gates crossed; first Treasury buyback escalation; Fed turned hike-biased.                                                                                         |
| September 10                        | 31        | 20         | 16        | 13          | 16        | 4        | Second rescue shrugged off; inflation leg (PPI 5.4%, Brent >\$100, ECB hiking); Nvidia guarantee signed.                                                                         |
| September 16                        | 28        | 19         | 17        | 17          | 14        | 5        | Long end sold off on the hike; three G3 hikes in nine days; import prices +7%; labs' slowdown signal; NATO shoot-down.                                                           |
| <b>September 22</b>                 | <b>29</b> | <b>19</b>  | <b>18</b> | <b>16</b>   | <b>14</b> | <b>4</b> | Oil –10% on US-Iran talks; equities back to highs; Jupiter loans below 90, OpenAI cash-out-by-2028, SoftBank junk; TIC private selling; France spread break offset by Xi summit. |

September 22 reasoning: Muddle +1 because the election put is working (oil, labor, equities); AI Bust +1 because the financing channel cracked in three places while demand stayed record-strong, the railroad and Lucent shape; Second Wave –1 as the oil impulse eased with the policy-error leg unchanged; Fracture –1 as Iran talks and the Xi summit outweighed France and the sanctions law. September 16 reasoning: Second Wave +4 because the hike-then-rally counter-read failed on the day it was tested, import prices are +7% y/y and five-to-ten-year expectations sit one tick from the 3.5% trigger. Muddle –3 because the long end stopped cooperating. AI Bust +1 for the labs' own slowdown signal and the removal of the IPO liquidity event; strong TSMC and Korean chip data prevent a larger move. Escape –2 for the macro hurdle (hikes, \$108 oil, negative real wages, 10-year at 5%). Repression –1 near-term on positive real rates, with its five-year mass preserved by the game-theory argument. Fracture +1 on the Lithuania shoot-down, the India–Pakistan collision and the secondary-tariff bill, netted against the Xi visit and the BRICS "de-risking, not de-dollarization" language.

## 1 · Grinding Nominal Muddle · 29%

Analog: UK 1950s–60s slow erosion crossed with the US 2004–06 nominal grind. Deficits stay 5.5–6.5% of GDP, debt grinds toward 108–112%, and the market keeps clearing at a price: a restored term premium, a 10-year oscillating 4–5.25%, soft repression (bill-heavy issuance, leverage-ratio relief, buybacks, stablecoin bill demand) doing the work quietly. Inflation settles near 3%. Roughly 8–10 points of this scenario is a course-correction variant with a post-midterm or post-2028 fiscal package. At least one 20–30% recovered

drawdown inside the window is likelier than not. Endpoints 2031: 10-year 4.25–5.00%; S&P +4–6% a year nominal; CPI 2.8–3.3%; gold \$5,000–6,000; dollar index 94–104.

## **2 · Repression by Stealth · 19%**

Analog: US 1942–51 fiscal arithmetic plus the UK 1949–67 currency template. An ordinary 2027–28 recession lands on 6% structural deficits; belly auctions fail properly; the machinery gets repurposed: leverage-ratio-deputized banks, cultivated stablecoin demand, reserve purchases expanding from bills into coupons, the Fed cutting to 2% while CPI runs 3.5–4%. The 10-year is managed into a 4–4.75% band against roughly 4% inflation. About 13 points of this mass is "ordinary recession plus standard QE with sticky inflation"; only 5 points is the true repression apparatus. Endpoints: 10-year 4.00–4.75% with negative real yields; S&P +5–8% a year with a 25% drawdown en route; CPI 3.5–4.2%; gold \$6,500–8,000; dollar index 82–92.

## **3 · AI Bust Feeds the Debt Cycle · 18%**

Analog: between 2001 and a lighter 1873. A capex cycle above \$700B a year whose financing flipped from cash to debt just as it peaked, landing on an economy where AI drove roughly three-quarters of growth. Sequence: a hyperscaler guidance cut, a lab funding round slipping, Oracle's backlog renegotiated, neocloud defaults on GPU-collateralized debt, an SPV impairment, the private-credit pipeline shutting. Nasdaq –55 to –65%, S&P –35 to –45%. The second order is the story: the top-decile wealth effect converts a capex recession into a broad one; deficits reach 9–10% of GDP; the Fed cuts to about 1% and restarts QE, first bills then duration. The technology delivers anyway; the 2026-vintage capital is destroyed. Endpoints: 10-year 3.75–4.50%; S&P 0–3% a year with a 40% drawdown; CPI 2.6–3.2%; gold \$6,000–7,500.

## **4 · Second Wave and the Long-End Accident · 16%**

Analog: US 1968–74 compressed, with the 2022 gilt crisis for the accident mechanics. Premature easing into 3%+ core inflation (the Burns move) after the midterms; wave two builds on de-anchored expectations, a Hormuz round three, and tariff round two, peaking 5.5–6.5% in 2028–29. Then the bond market imposes what the Fed would not: a failed auction cluster takes the 30-year through 6.5% in weeks; emergency caps convert the crisis into repression with inflation at 5%, the worst possible entry; a re-tightening delivers a hard 2029 recession. This scenario carried 9% in July because it needs three sequential events (a Burns-style cut, breakevens de-anchoring, a Truss-scale accident). It has nearly doubled since because the first two are visibly closer: the inflation leg is here, and the long end now sells off on hikes. Endpoints: 10-year 5.25–6.25% (6.5–7% at the accident); S&P –2 to +1% a year; CPI 4.5–5.5%; gold \$7,500–9,500; dollar index 78–90.

## **5 · Productivity Escape · 14%**

Analog: US 1995–2000 with its warning label. Growth rises decisively above the interest rate: AI end-market revenue crosses annual capex by about 2028; productivity prints 2.5–3% sustained; revenues surprise by \$300–500B a year; the deficit falls to 4–4.5% with no painful legislation; debt to GDP flattens near 104%. About a third of this scenario's mass is bust-then-boom: a 2027 credit event followed by the productivity payoff anyway. Endpoints: 10-year 3.75–4.25%; S&P +8–12% a year; CPI 2.0–2.4%; gold \$2,800–3,500; dollar index 102–112.

## 6 · Fracture · 4%

Analog: UK 1976 plus US 1933 plus Suez 1956. A compound failure: Fed capture consummated, a contested 2028 election, and an external shock (a Taiwan quarantine freezing Asian reserve managers, or capital-war taxation of foreign holdings). Foreign official demand strikes for real; emergency yield control, capital-flow friction and extraordinary taxation follow. Devaluation and repression, not default. Endpoints: 10-year 6.0–7.0% where uncapped; S&P –4 to –1% a year; CPI 5.5–7.5%; gold \$10,000–14,000; dollar index 65–78. Raised from 3% to 5% by September 16 on Section 899 rhetoric, the Lithuania shoot-down, the India–Pakistan collision and the secondary-tariff bill; trimmed to 4% on September 22 as the Iran talks and the Xi summit outweighed France's spread break.



## 8 · PUT-STRATEGY MODEL

## September 22 results: cheaper entry after the vol reset, same ranking

The model prices each structure with Black–Scholes at today's implied volatility, then simulates 12,000 scenario-conditioned monthly paths (drift, volatility, crash timing, depth and length per scenario, weighted by the September 22 probabilities), and reports the expected payoff as a multiple of cost. "Exit rule on" sells the position when the underlying falls through its trigger at crash-level implied volatility rather than holding to expiry. Inputs: risk-free 4.4% (3-month bill 4.17%); S&P 7,776; NVDA \$227; Oracle \$140 (no print since September 15); PLTR ~\$169 (stale); HYG \$78.7; SPX implied volatility trimmed at the front after VIX fell to 14.25 (16.5% at 4 months, 21% at 22 months). Costs are percent of spot. P0 is the share of paths that expire worthless;  $\geq 3\times$  and  $\geq 10\times$  are the shares that return at least three or ten times cost. The last column is the expected multiple conditional on each scenario (Muddle / Repression / AI Bust / Second Wave / Escape / Fracture). Rows marked in the tan shade replicate Michael Burry's disclosed structures.

### Exit rule on (the realistic case)

| STRUCTURE                       | COST   | EV           | P0  | $\geq 3\times$ | $\geq 10\times$ | BY SCENARIO             |
|---------------------------------|--------|--------------|-----|----------------|-----------------|-------------------------|
| [B] NVDA Jun-27 p~105 (53% OTM) | 0.21%  | <b>3.75×</b> | 61% | 30%            | 17%             | 3.0/3.0/3.2/8.6/1.1/4.7 |
| SPX Dec-27 10% OTM              | 3.27%  | <b>2.55×</b> | 44% | 45%            | 0%              | 1.4/3.0/3.9/4.8/0.3/1.2 |
| SPX Jun-28 10% OTM              | 4.40%  | <b>2.26×</b> | 41% | 51%            | 0%              | 1.4/2.4/3.5/3.9/0.2/3.2 |
| QQQ Dec-27 10% OTM              | 4.86%  | <b>2.25×</b> | 39% | 49%            | 0%              | 1.5/2.7/3.1/4.0/0.4/1.5 |
| SPX Dec-27 90/70 spread         | 2.85%  | <b>2.21×</b> | 44% | 46%            | 0%              | 1.2/2.6/3.5/4.0/0.2/1.3 |
| QQQ Dec-27 90/65 spread         | 4.28%  | <b>1.97×</b> | 39% | 43%            | 0%              | 1.3/2.3/2.9/3.3/0.4/1.3 |
| [B] QQQ Jun-27 p~655 (11% OTM)  | 2.85%  | <b>1.90×</b> | 62% | 29%            | 1%              | 1.4/1.8/2.0/4.1/0.4/1.1 |
| QQQ Jun-28 90/65 spread         | 4.94%  | <b>1.79×</b> | 35% | 18%            | 0%              | 1.3/2.0/2.6/2.7/0.3/2.6 |
| SOXX Dec-27 85/55 spread        | 5.38%  | <b>1.71×</b> | 38% | 19%            | 0%              | 1.2/2.0/2.3/2.9/0.4/1.2 |
| SOXX Jun-28 85/55 spread        | 6.37%  | <b>1.65×</b> | 31% | 6%             | 0%              | 1.3/1.9/2.3/2.4/0.4/2.2 |
| NVDA Dec-27 80/45 spread        | 7.06%  | <b>1.62×</b> | 29% | 5%             | 0%              | 1.3/1.8/2.1/2.4/0.6/1.3 |
| SPX Mar-27 10% OTM              | 1.27%  | <b>1.47×</b> | 80% | 14%            | 7%              | 1.3/0.7/0.8/4.5/0.3/1.4 |
| PLTR Dec-27 25% OTM             | 10.54% | <b>1.44×</b> | 29% | 1%             | 0%              | 1.2/1.6/1.8/2.1/0.6/1.3 |
| SPX Mar-27 90/75 spread         | 1.19%  | <b>1.28×</b> | 80% | 14%            | 5%              | 1.2/0.7/1.0/3.5/0.3/1.0 |
| [B] SOXX Mar-27 p~425 (23% OTM) | 1.27%  | <b>1.26×</b> | 83% | 16%            | 3%              | 1.0/0.8/0.8/3.7/0.3/1.5 |
| VRT Dec-27 85/50 spread         | 10.27% | <b>1.23×</b> | 29% | 0%             | 0%              | 1.0/1.4/1.6/1.8/0.5/1.0 |
| ORCL Jun-28 85/55 spread        | 10.61% | <b>1.21×</b> | 24% | 0%             | 0%              | 1.0/1.3/1.6/1.6/0.5/1.4 |
| ORCL Dec-27 15% OTM             | 14.26% | <b>1.21×</b> | 30% | 0%             | 0%              | 0.9/1.4/1.5/1.8/0.5/1.0 |
| HYG Dec-27 5% OTM               | 3.28%  | <b>1.17×</b> | 48% | 10%            | 0%              | 0.7/1.3/1.6/2.4/0.1/0.7 |

| STRUCTURE                       | COST   | EV           | P0  | ≥3× | ≥10× | BY SCENARIO             |
|---------------------------------|--------|--------------|-----|-----|------|-------------------------|
| DLR Dec-27 12% OTM              | 5.94%  | <b>1.16×</b> | 47% | 7%  | 0%   | 0.7/1.3/1.7/2.3/0.1/0.6 |
| ORCL Dec-27 85/55 spread        | 10.01% | <b>1.12×</b> | 30% | 0%  | 0%   | 0.9/1.3/1.5/1.7/0.4/0.9 |
| CRWV Dec-27 70/25 spread        | 15.24% | <b>1.09×</b> | 24% | 0%  | 0%   | 0.9/1.1/1.4/1.4/0.6/1.2 |
| [B] PLTR Mar-27 p~105 (40% OTM) | 1.61%  | <b>1.04×</b> | 73% | 18% | 0%   | 0.9/0.8/1.0/2.1/0.4/1.4 |
| HYG Jun-28 95/85 spread         | 2.80%  | <b>0.98×</b> | 43% | 0%  | 0%   | 0.6/1.1/1.5/1.6/0.1/1.5 |
| HYG Dec-27 95/87 spread         | 2.09%  | <b>0.95×</b> | 49% | 1%  | 0%   | 0.5/1.1/1.5/1.7/0.1/0.5 |
| [B] PLTR Dec-26 p~105 (40% OTM) | 0.49%  | <b>0.68×</b> | 91% | 9%  | 2%   | 0.5/0.5/0.7/1.5/0.1/1.4 |
| [B] NVDA Dec-26 p~105 (53% OTM) | 0.03%  | <b>0.66×</b> | 94% | 3%  | 2%   | 0.3/0.4/0.5/2.2/0.1/1.1 |
| ORCL Mar-27 85/60 spread        | 6.63%  | <b>0.53×</b> | 69% | 1%  | 0%   | 0.5/0.4/0.5/1.0/0.2/0.6 |

### Hold to expiry (for comparison)

| STRUCTURE                       | COST   | EV           | P0  | ≥3× | ≥10× | BY SCENARIO              |
|---------------------------------|--------|--------------|-----|-----|------|--------------------------|
| [B] NVDA Jun-27 p~105 (53% OTM) | 0.21%  | <b>5.28×</b> | 90% | 10% | 9%   | 1.3/2.7/7.3/19.6/0.1/0.3 |
| SPX Dec-27 10% OTM              | 3.27%  | <b>3.13×</b> | 45% | 39% | 8%   | 1.3/3.3/5.8/6.2/0.2/1.5  |
| QQQ Dec-27 10% OTM              | 4.86%  | <b>2.95×</b> | 42% | 40% | 4%   | 1.3/3.2/5.3/5.6/0.3/1.3  |
| SPX Dec-27 90/70 spread         | 2.85%  | <b>2.73×</b> | 45% | 41% | 0%   | 1.4/3.1/4.7/5.0/0.2/1.4  |
| SPX Jun-28 10% OTM              | 4.40%  | <b>2.63×</b> | 45% | 36% | 3%   | 1.1/2.2/4.9/4.6/0.1/5.6  |
| QQQ Dec-27 90/65 spread         | 4.28%  | <b>2.56×</b> | 41% | 44% | 0%   | 1.5/3.1/4.1/4.4/0.3/1.7  |
| [B] QQQ Jun-27 p~655 (11% OTM)  | 2.85%  | <b>2.36×</b> | 63% | 26% | 8%   | 1.4/2.2/2.7/5.9/0.3/1.3  |
| SOXX Dec-27 85/55 spread        | 5.38%  | <b>2.33×</b> | 43% | 41% | 0%   | 1.3/2.7/3.8/4.1/0.2/1.4  |
| NVDA Dec-27 80/45 spread        | 7.06%  | <b>2.24×</b> | 37% | 42% | 0%   | 1.4/2.6/3.6/3.8/0.3/1.3  |
| QQQ Jun-28 90/65 spread         | 4.94%  | <b>2.19×</b> | 43% | 41% | 0%   | 1.3/2.1/3.7/3.5/0.2/3.7  |
| SOXX Jun-28 85/55 spread        | 6.37%  | <b>2.00×</b> | 43% | 38% | 0%   | 1.1/1.9/3.4/3.2/0.2/3.2  |
| [B] SOXX Mar-27 p~425 (23% OTM) | 1.27%  | <b>1.86×</b> | 85% | 12% | 7%   | 1.5/0.6/0.7/7.0/0.2/1.0  |
| PLTR Dec-27 25% OTM             | 10.54% | <b>1.70×</b> | 41% | 28% | 0%   | 0.8/1.8/3.1/3.1/0.2/0.8  |
| SPX Mar-27 10% OTM              | 1.27%  | <b>1.68×</b> | 80% | 14% | 7%   | 1.3/0.8/0.9/5.9/0.3/1.1  |
| VRT Dec-27 85/50 spread         | 10.27% | <b>1.65×</b> | 34% | 34% | 0%   | 1.0/1.9/2.6/2.7/0.3/1.1  |
| ORCL Jun-28 85/55 spread        | 10.61% | <b>1.48×</b> | 34% | 0%  | 0%   | 1.0/1.5/2.4/2.1/0.3/2.2  |
| ORCL Dec-27 85/55 spread        | 10.01% | <b>1.45×</b> | 36% | 0%  | 0%   | 0.9/1.7/2.3/2.3/0.3/1.0  |
| SPX Mar-27 90/75 spread         | 1.19%  | <b>1.37×</b> | 80% | 14% | 7%   | 1.3/0.8/0.9/3.7/0.3/1.3  |

| STRUCTURE                       | COST   | EV           | P0   | ≥3× | ≥10× | BY SCENARIO             |
|---------------------------------|--------|--------------|------|-----|------|-------------------------|
| ORCL Dec-27 15% OTM             | 14.26% | <b>1.36×</b> | 36%  | 17% | 0%   | 0.7/1.5/2.4/2.4/0.2/0.7 |
| DLR Dec-27 12% OTM              | 5.94%  | <b>1.34×</b> | 51%  | 20% | 0%   | 0.5/1.4/2.6/2.7/0.0/0.5 |
| HYG Dec-27 95/87 spread         | 2.09%  | <b>1.27×</b> | 51%  | 25% | 0%   | 0.5/1.4/2.3/2.4/0.1/0.5 |
| CRWV Dec-27 70/25 spread        | 15.24% | <b>1.22×</b> | 40%  | 0%  | 0%   | 0.6/1.2/2.3/1.9/0.2/1.1 |
| HYG Jun-28 95/85 spread         | 2.80%  | <b>1.14×</b> | 51%  | 21% | 0%   | 0.4/1.1/2.1/2.0/0.0/2.2 |
| HYG Dec-27 5% OTM               | 3.28%  | <b>1.10×</b> | 52%  | 15% | 0%   | 0.4/1.1/2.3/2.3/0.0/0.5 |
| [B] NVDA Dec-26 p~105 (53% OTM) | 0.03%  | <b>1.06×</b> | 100% | 0%  | 0%   | 0.1/0.0/0.0/6.5/0.0/0.0 |
| [B] PLTR Mar-27 p~105 (40% OTM) | 1.61%  | <b>0.90×</b> | 90%  | 8%  | 4%   | 0.5/0.2/0.4/3.7/0.1/0.4 |
| ORCL Mar-27 85/60 spread        | 6.63%  | <b>0.60×</b> | 70%  | 9%  | 0%   | 0.6/0.4/0.5/1.3/0.2/0.6 |
| [B] PLTR Dec-26 p~105 (40% OTM) | 0.49%  | <b>0.48×</b> | 98%  | 2%  | 1%   | 0.2/0.0/0.1/2.4/0.0/0.2 |

### The red-team rules that override the table

- **Skew kills far-out-of-the-money lotteries.** The model prices at a flat volatility, so structures 40–55% out of the money (the Burry NVDA and PLTR replicas) are overstated. Real skew adds several volatility points to those strikes; discount their multiples by a third to a half.
- **Time is the enemy of early expiries.** March 2027 structures return roughly 1.1–1.3× because most crash paths start after they expire. Burry's own move this week (closing December 2026, keeping 2027) is consistent with this.
- **Cap the bleed.** Premium at risk should stay at 1–1.5% of the portfolio per year. At about 3.3% cost for a December 2027 10%-out-of-the-money SPX put, that is a modest notional, not a portfolio-sized bet.
- **The historical replay (v6) says the exit rule matters more than the strike.** On real episodes since 1987, the –22%-from-entry exit fired in only 10 to 25% of crash entries because the index often rallied after purchase; a –22%-from-running-peak rule raised the expected multiple from 1.3x to 1.7x with far fewer zeros. Long-dated 10%-OTM index puts bought within 12 months of a top earned 1.6 to 2.0x on a scenario-weighted basis; bought 12 to 24 months early they mostly expired worthless.
- **Use index puts on SPX or XSP for tax treatment** where applicable (Section 1256), and prefer index and QQQ puts over VIX calls while VIX call skew sits in the 91st percentile and equity puts are comparatively cheap.
- **Spreads over outrights on single names**, and no Nvidia position into its earnings (late November) where the guide has historically crushed volatility.
- **Oracle, CoreWeave and high-yield structures run near 1.0–1.2×** because their implied volatility already prices the stress. The information is in the credit, the payoff is in the index.

## 9 · TRIPWIRES AND CATALYSTS

## Scorecard as of September 22, and the ladder ahead

| TRIPWIRE                                           | STATUS            | EVIDENCE                                                                                                                                                                   |
|----------------------------------------------------|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Treasury intervention forced and not holding       | WATCH             | Sep 10 op \$5.19B of \$6B; 30Y high close 5.33% Sep 18, 5.29% now; six more ops to Nov 4; sizing deferred to the QRA. Held at 2.                                           |
| Fed pivots to duration (Stage-5 gate)              | OPPOSITE          | Oct hike ~55%, Dec ~90%; reserve-management purchases zero this cycle; every speaker keeps more on the table.                                                              |
| 10Y at or above 5% / 30Y at or above 5.5%          | RETREATED         | 10Y 5.01% → 4.96% on oil; 30Y 5.29% (5.33% high); 2s10s ~20bp, flattening replaced the accident leg this week.                                                             |
| Equity risk premium at or below zero               | CROSSED           | −0.3 to −0.5pp at S&P 7,776 and 10Y 4.96%; reverts only if the 10Y falls under 4.85%.                                                                                      |
| Burns test (cuts into 3%+ core)                    | OPPOSITE          | "Rates should be 1%" versus a Fed hiking; the test is a 2027 event.                                                                                                        |
| Expectations de-anchor                             | APPROACHING       | UMich 5–10yr 3.4% (final Sep 25); Philly prices paid 48.6; CFO survey +4.1% price plans; oil relief cuts the other way.                                                    |
| Hyperscaler capex cut                              | OPTICAL           | Microsoft's \$190B → \$175B is a depreciation-life reclassification, not less hardware; no real cut.                                                                       |
| AI credit-complex stress                           | PROXIMITY MAX     | Jupiter project loans 89–91c, syndication stalled; ORCL CDS 190–215bp (250 trigger); CoreWeave bonds ~13%; data-center junk widening each deal; no default, no impairment. |
| Circular guarantee at scale                        | CROSSED           | Nvidia \$108.5B of guarantees, ~25% of FY28 revenue from labs it backs; SoftBank junk → OpenAI equity → Oracle and Nvidia contracts added to the web.                      |
| Second private-credit gate wave                    | APPROACHING       | All perpetual BDCs at 5% caps in 2Q; BCRED held 5% for 3Q; Ares says requests falling; Oct 1 windows next; Fitch default rate 6.3% record.                                 |
| Consumer weak-3 flag                               | AT TRIGGER        | Hires 3.2% (Oct 6) and saving 3.0% (Sep 30) both at trigger; claims 196K and Redbook +7.6% are the offsets; mortgage above 7%.                                             |
| Subprime funding break                             | APPROACHING       | Credit Acceptance \$694M settlement; Car-Mart \$300M deadline Sep 25 with bankruptcy "an option"; a filing moves the lender indicator to 2.                                |
| Oil / Hormuz                                       | EASING            | Brent \$97 (−10%); Saudi pipeline restarting; transits at most 15 a day; strikes and talks on the same day; deal "after Nov 3".                                            |
| Great-power confrontation (external conflict to 3) | APPROACHING       | Sanctions law with 100% secondary tariffs on China and India signed; coast-guard collision with the Philippines; North Korean missiles; the Xi summit is the offset.       |
| Reserve erosion / Dalio triple                     | 2 OF 3, WEAKENING | Gold \$4,310–4,409 (+17% y/y) through a hike; dollar index 100.6 firming; TIC −\$50B; COFER Q2 on Sep 30 decides a downgrade.                                              |
| Japan long end / repatriation                      | RISING            | BOJ 1.25% dovish; yen 158 and a rate check; Japan −\$13B in July TIC; finance ministry cutting super-long issuance; 30Y JGB 4.07%.                                         |

| TRIPWIRE                            | STATUS    | EVIDENCE                                                                                                                                    |
|-------------------------------------|-----------|---------------------------------------------------------------------------------------------------------------------------------------------|
| Europe periphery                    | WORSENING | OAT–Bund 105bp, first above 100 since 2012, Scope cut; CDU below 5% in a state election; UK borrowing overshoot; budgets Sep 30 and Oct 28. |
| China contraction                   | WORSENING | LPR held a 16th month; Vanke loans kept off NPL books; property investment –19.9% YTD; yuan 6.70, strongest since 2023.                     |
| Institutional rupture / Section 899 | RHETORIC  | No 899 text; "hostile board"; no removal action; Barr seen as the next target.                                                              |

## Catalyst ladder

| DATE      | EVENT                                                                                                                        | WHAT IT DECIDES                                                                                                                               |
|-----------|------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| Sep 23    | Xi arrives; flash PMIs; 5Y auction                                                                                           | Whether the 5-year tail streak extends; summit tone.                                                                                          |
| Sep 24    | Trump–Xi meeting and state dinner; 7Y auction; 20–30Y buyback operation                                                      | Truce extension length, rare-earth licensing, Taiwan arms; whether a third rescue holds.                                                      |
| Sep 25    | UMich final; America's Car-Mart facility deadline                                                                            | 5–10yr expectations vs the 3.5% trigger; a Car-Mart filing moves the lender indicator.                                                        |
| Sep 30    | August PCE and saving rate; Micron earnings; IMF COFER Q2; France's 2027 budget; quarter-end and \$183B of coupon settlement | Saving rate below 3.0% escalates the consumer flag; AI hardware cycle; reserve-erosion downgrade test; OAT–Bund stress; quarter-end plumbing. |
| ~Oct 1    | Blue Owl, HLEND, Apollo ADS, Ares ASIF Q3 redemption windows                                                                 | The second private-credit gate wave; requests rising or falling.                                                                              |
| Oct 6     | August JOLTS                                                                                                                 | Hires rate below 3.2% for a second month escalates the consumer flag.                                                                         |
| Oct 8     | 30-year auction                                                                                                              | A tail of 4bp+ with cover under 2.2 is the auction-stress trigger.                                                                            |
| Oct 27–28 | FOMC                                                                                                                         | The second hike, the last the calendar permits.                                                                                               |
| Oct 28    | UK Budget                                                                                                                    | Gilt stress spillover to the global long end.                                                                                                 |
| Nov 3     | US midterms                                                                                                                  | The election put expires; a Democratic House removes fiscal offsets.                                                                          |
| Nov 4     | Quarterly refunding announcement                                                                                             | Long-coupon cuts (yield control by issuance) or the treadmill.                                                                                |
| Nov 10    | US–China truce expiry (extension expected)                                                                                   | Tariff round two if not extended.                                                                                                             |
| Dec 11    | Continuing resolution expires                                                                                                | Post-election fiscal fight.                                                                                                                   |

## 10 · METHOD, HONESTY NOTES, AND LIMITS

## How this was built and what it cannot tell you

**Method.** The July baseline was built from twelve parallel research streams (Treasury market and auctions, fiscal, Fed and inflation, equities and credit, Dalio's frameworks, historical analogs, dollar and geopolitics, AI economics, bubble anatomy, consumer credit, China and global contagion, AI circular-deal forensics), synthesized into the BDCR-26 algorithm and scenario map, then adversarially reviewed by a primary-source fact-checker, an internal-consistency auditor, and an anti-doom contrarian. Each re-score since (August 19, September 10, September 16) ran five or six fresh sweeps over the intervening window and tested every indicator against its written threshold. The September 10 re-score was itself audited: a first pass of 71.7 was rejected because two upgrades re-anchored pre-registered thresholds in the same update that benefited from them, and the composite was held at 69.0 with prospective amendments logged instead.

### Honesty notes carried in the record.

- Every indicator that has risen since July is a financial-market indicator. The real-economy indicators have been held despite deterioration in hires, saving, real wages and subprime auto, because none crossed its written line. The composite currently measures narrative heat more than household stress.
- A Fed that hikes with positive real rates is evidence against monetization. What has risen is a hike-into-weakness slowdown plus an inflation leg, not a monetization event. The gate stays shut until the Fed buys duration or caps yields.
- Japan's Treasury sales in May and June were mostly the mechanical funding of a yen intervention that succeeded. The pending TIC print of those sales is not new stress.
- Gold was never at a record in August; the all-time high was \$5,596 on January 28, 2026. Student-loan garnishment has been paused since January 16, 2026. Fitch's private-credit default rate is 6.1% (the "5.2%" once carried was a 2025 figure).

**Known gaps at the time of writing.** Oracle, Palantir and CoreWeave prices since September 15, VVIX and MOVE, the September 17 to 22 buyback results, China's July TIC figure and most named-strategist commentary could not be retrieved before the research budgets were exhausted. Conflicts flagged: Capital One's August card delinquency (3.57% per the filing versus the 3.73% carried on September 16), a gold futures-versus-spot gap of about \$100 in the feeds, an unverified AAA gasoline reading, and two dates for Nvidia's next earnings (November 17 or 25). Several figures come from search extracts of primary sources rather than the pages themselves. Each is marked in the model's notes.

**Limits that survive every fix.** Roughly  $\pm 5$ –8 points of input uncertainty on the composite. Thresholds anchored partly to the zero-rate decade (re-anchoring to 1960–2025 distributions would read about 63–65, mid-Regime 3). An additive structure that understates tail steepness: regime breaks are correlation events, so expect jumps of 8–15 points, not drifts. Four judgment-scored indicators. A small history with survivorship bias. The regime call (upper Regime 3, gate unmet) survives every recalibration tried; the point estimate, the scenario probabilities, and every price and date in this report are soft. The signposts are the product. Watch the tripwires, not the forecast.

**This is a scenario-analysis exercise, not investment advice.** Five-year macro forecasts have wide error bars by nature. Nothing here accounts for personal circumstances, tax position, or risk tolerance. Ray Dalio's frameworks are used analytically; this document is not affiliated with or endorsed by him. Michael Burry's positions are cited from public filings and reporting.